d. Directing the state-level Bankers' Committee to be proactive in resolving issues with the state governments; and
e. Designating asset reconstruction companies (ARCs) resolution agents of banks.

The ***RBI*** has also announced the following remedial measures –

a. Restructured standard account provisioning raised from the existing 2 per cent to 2.75 per pent;
b. The sanction of fresh loans/ad-hoc loans from 1st Jan 2013 will be made on the basis of sharing of information among banks;
c. Banks will conduct sector- /activity-wise analysis of NPAs;
d. Banks will put in place a robust mechanism for early detection of sign of distress, amendments in recovery laws, and strengthening of credit appraisal and post credit monitoring.

SARFAESI Act, 2002

GoI finally cracked down on the **wilful defaulters** by passing the *Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest (SARFAESI) Act, 2002*.

The Act gives far reaching powers to the banks/FIs concering NPAs:

1. Banks/FIs having 75 per cent of the dues owed by the borrower can collectively proceed on the following in the event of the account becoming NPA:
   (A) Issue notice of default to borrowers asking to clear dues within 60 days.
   (B) On the borrower's failure to repay:
      (i) Take possession of security and/or
      (ii) take over the management of the borrowing concern and/or
      (iii) appoint a person to manage the concern.
   (C) If the case is already before the BIFR, the proceedings can be stalled if banks/FIs having 75 per cent share in the dues have taken any steps to recover the dues under the provisions of the ordinance.